



CONVEX RESEARCH GROUP

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Morning Note

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Tone: Risk-On

OVERNIGHT MACRO

- Asia: Mixed. Nikkei and Hang Seng flat to slightly positive. No major catalyst from the region.
- Europe: Broadly higher. DAX, CAC, and Euro Stoxx all up over 0.5%. Risk appetite is global.
- FX: Dollar index quiet at 99.77, down 0.08%. No major currency dislocations overnight.
- Commodities: WTI down 3.22% to \$84.89, Brent down 3.14% to \$87.54. Iran and the United States have reached a reported peace agreement to reopen the Strait of Hormuz. Supply disruption premium is coming out of oil immediately. Gold up 2.70% to \$4,225, an unusual divergence in a risk-on tape. Silver up 4.42%.
- U.S. Futures: S&P +1.75%, Nasdaq +2.54%, Dow +1.86%. Broad-based strength. VIX at 19.07, down 1.95%. Fear is fading fast.

KEY EVENTS & DATA TODAY

Time (ET)	Event	Note
All Day	SpaceX (SPCX) IPO opens on Nasdaq	\$135/share, \$1.75T valuation
10:00 AM	Michigan Consumer Sentiment (Jun, Prelim)	First read post-Iran deal
All Day	Fed Blackout Window	No speakers ahead of Jun 17 FOMC

Earnings: China Online Education Group (COE) before open. No estimates available. Not a market mover.

Key Watch: SpaceX opens for trading. Every other catalyst today is secondary to watching how SPCX trades in the first 30 minutes. The index inclusion trade begins its clock at the open.

RATES & CREDIT SNAPSHOT

Instrument	Level	Note
2Y Treasury	4.056%	Front end down 3.4bps, leading the rally
10Y Treasury	4.456%	Down 1.1bps
30Y Treasury	4.947%	Pressing back toward 5.00%
2s10s Spread	~40bps	Bull flattener in play
Jun 17 Fed Hold	96.4%	No move next week
Jul 29 Fed Hold	88.5%	8.2% hike probability worth watching

The curve is bull flattening this morning. The front end is falling faster than the long end, which reflects lower near-term inflation expectations from the crude selloff. The Iran deal removes a persistent supply disruption bid from oil, and markets are treating that as deflationary relief.

The 30Y at 4.947% is pressing back toward 5.00% from above. Whether it closes the week below that level matters. A sustained break below 5.00% on the long end would be a meaningful signal that the rate environment is genuinely shifting.

Credit has been unmoved this week. IG and HY spreads near multi-year lows, and with VIX compressing and equities ripping this morning, the credit market should tighten further at the open.

EQUITY SETUP

SPX: 7,394 futures, +1.75%. Strong gap up. Technology is the lead horse at +6.58%, driven almost entirely by semiconductors. LRCX +12.65%, MU +11.66%, INTC +9.27%, AMD +7.97%.

NDX: 25,810 futures, +2.54%. Nasdaq outperforming on semis and large cap tech. The risk-on bid is flowing into highest beta names first.

RTY: Small caps participating but lagging the Nasdaq, consistent with a semis-driven move rather than a broad cyclical rotation.

VIX: 19.07, down 1.95%. Trending lower. Below 20 and falling is constructive for the tape.

Defensives underperforming badly. Real Estate and Cons. Staples essentially flat while everything else is up 1.5 to 6%. This is not a market hedging itself.

Energy is the only red sector at negative 1.13%. That is the direct read-through from crude and is expected given the Hormuz news.

ONE THEME TO WATCH

SpaceX starts trading today, and I want to be honest about what that means.

The ticker is SPCX. The price is \$135 per share. The valuation is \$1.75 trillion, the largest IPO in history. The raise is \$75 billion. But the number that matters most is not any of those. The number that matters is 10.3 million, which is Starlink's subscriber count, generating \$11.4 billion in revenue at 63% EBITDA margins.

SpaceX is being sold as a space company and a rocket company and an AI company. It is really a broadband company with the most defensible distribution moat on earth, literally, because the service is delivered from orbit. The rocket business is secondary. xAI and Grok are burning \$6.4 billion in operating losses per year. You are paying \$1.75 trillion for Starlink's cash flows and two very expensive bets on the future.

The index inclusion trade is the structural bid worth understanding. QQQ fast-tracks additions for companies above the market cap threshold, and SPCX at \$1.75 trillion qualifies immediately. Historically that passive rebalancing buying begins within 15 trading days of inclusion. That is a deterministic bid entering the stock in roughly three weeks regardless of how today trades.

What I am watching is not the open print. It is the close. IPOs tend to gap up on day one and the institutional allocation game plays out in the first hour. Where SPCX closes on its first day tells you more about real conviction than where it opens. A close above \$135 with volume is a clean signal. A fade into the afternoon is not a disaster but it changes the short-term narrative heading into next week.

PORTFOLIO WATCH

Catalysts today: SPCX open and first hour trading. Michigan Consumer Sentiment at 10 AM for a read on household confidence post-Iran deal.

Oil names under pressure at the open. Energy sector is the hedge against everything else working.

Semiconductors are the momentum play. The names moving 10 to 12 percent this morning are not all justified by fundamentals. Watch for giveback into the afternoon if the tape softens.